1925. Chiang Kai-shek, his successor as the KMT supremo, was a staunch anti-Communist allied with the Green Gang of Du Yuesheng, nicknamed Big-Eared Du, Huang Jinrong, better known as Pock-Marked Huang, and other gangsters in Shanghai. Pock-Marked Huang also happened to be a senior officer in the French gendarmerie in Shanghai, which enabled him to carry out his criminal activities with near impunity. The CCP, on the other hand, gained a considerable following among the urban proletariat in Shanghai, China's most industrialized city, which, according to Marxist doctrine, should be their main power base.

The Communists were becoming powerful, threatening the KMT's tenuous hold on the city's administration. But Big-Eared Du came to the rescue of his old comrade Chiang Kai-shek. He mobilized hundreds of his and Pock-Marked Huang's hijackers, kidnappers, bodyguards, pimps, masseurs, manicurists, pick-pockets, gunmen, hawkers, waiters, and beggars, dressed them in blue and wrapped a band marked with the Chinese character for 'labour' around their arms. Guns were provided by Chiang's high command.

The attack began an hour before dawn on 12 April 1927, as the mobsters attacked a building where the Communist workers' militia were headquartered. The pickets surrounding the building were cut down in a hail of machine-gun fire. Other Communist offices and buildings were attacked as well, and, before the end of the day, seven hundred trade unionists were killed. It took eight truckloads and several hours to cart away the dead and the litter. With them went the last of the alliance between the KMT and the CCP.[45]

The bloody crackdown in Shanghai in 1927 crippled the CCP and forced it to shift its main area of operation from the city to the countryside where the vast majority of the Chinese people lived. It was going to be a peasants' revolution, not a struggle led by the urban proletariat, which anyway was too small to rely on for someone who wanted to seize power in China.

The CCP was revived by the mutiny among some of the KMT's troops in Nanchang and the subsequent formation, on 1 August 1927, of the Chinese Workers' and Peasants Red Army, the forerunner to the PLA. Although based mainly in the countryside, it still had to rely on information collected in the cities. The crackdown, and the Communists' struggle to survive, thus led to the strengthening of the CCP's intelligence capabilities.